THE EQUITY EXPRESSION OF THE TERM PREMIUM THESIS

The Duration Nobody Wants

On Friday the United States added 162,000 jobs against a consensus of 53,000, and June and July were revised up by a combined 55,000. The two-year Treasury yield rose above four basis points to 4.377 per cent, its highest since January 2025, and futures moved to roughly a 58 per cent probability of a Federal Reserve rise on 16 September. That much is a conventional story about policy.

The unconventional part sits at the other end. The thirty-year closed the same session at 5.24 per cent, against 4.78 at ten years. A central bank markets believe will crush inflation should, in theory, pull long yields down. It has not. The question has changed from where policy settles to what it costs to lend for thirty years.

A reframe worth holding onto

A long yield is two things added together. The first is the average short rate investors expect over the bond's life — a forecast about the Fed. The second is the extra compensation demanded for bearing the risk that the forecast is wrong — a price set by supply, uncertainty and who is left to buy.

Only the first is a monetary story. Treating every long-end move as a Fed story makes the second invisible, which is precisely when it matters most. Decomposing the yield is not an academic nicety; it determines whether a hawkish Fed is good news or bad news for a thirty-year bond.

METHOD. Every external figure is dated and attributed in the Sources section: Treasury and market levels as of the 4 September 2026 session; labour data from the BLS Employment Situation of 4 September 2026; auction results, deficit projections and company figures from the primary releases cited. INTERNAL VIEWS: none are quoted. The Heyokha Wiki MCP server was unreachable in this automated run, so no thesis page, provider attribution or *last_reviewed* date could be retrieved, and the usual internal-versus-external contrast is replaced by one between two external positions. See "Editorial choices".

Consider a landlord who has let a warehouse on rolling three-year terms for a decade. Each renewal resets the rent to whatever the market bears, so the landlord carries almost no risk of being wrong. Now a tenant asks for a single thirty-year lease at a fixed rent. The first calculation is arithmetic: the average of the next thirty years of market rents, a number that might equal today's rent. The second is not arithmetic at all. Over thirty years the tenant may fail, the district may change, inflation may render the fixed rent worthless, so the landlord asks for more than the arithmetic answer — a premium for locking the door and throwing away the key. If six other warehouses on the street are offered on thirty-year terms at once, that premium rises even when the arithmetic has not moved. A thirty-year Treasury is that lease. The extra rent is the term premium.

THE STORY IN 60 SECONDS

5.24%

The thirty-year Treasury yield, against 4.78 per cent at ten years — roughly 46 basis points for the last twenty years of the loan. *Market levels, 4 September 2026.*

162,000

August non-farm payrolls, against a 53,000 consensus and a 31,000 twelve-month average. June and July revised up a combined 55,000. *BLS, 4 September 2026.*

5.216%

Awarded yield at a $25bn thirty-year auction, the highest since 2001. Bid-to-cover 2.39; dealers took 11.5 per cent. *Auction result, 14 August 2026.*

WHAT ACTUALLY HAPPENED

A hawkish Fed that failed to flatten the curve

The sequence over the past fortnight is unusually legible. At Jackson Hole in late August, Fed Chair Kevin Warsh delivered a speech read across the desks as unexpectedly hawkish, arguing that the summer's encouraging inflation readings did not amount to meaningful improvement and emphasising the 2 per cent target as a matter of institutional credibility. Hike probability for September moved up sharply on the back of it. On 3 September, Governor Waller signalled support for no hike and yields eased slightly. On 4 September the payroll print landed at three times consensus and the market moved back, decisively, towards a rise.

All of that is the expectations component doing its work, and it is visible where it should be: at the front of the curve. A two-year yield at 4.377 per cent is a straightforward statement that the average overnight rate expected over the next twenty-four months has gone up. Nothing about that is puzzling.

What is puzzling is the long end. The textbook response to a credible inflation-fighting central bank is a flatter curve: short rates rise now so that inflation, and therefore long rates, can be lower later. Instead the thirty-year sits at 5.24 per cent, the widest end of the curve is steep rather than inverted, and the Treasury has been selling thirty-year paper at yields not seen since 2001. On 14 August a $25bn thirty-year sale cleared at 5.216 per cent with a bid-to-cover of 2.39 and primary dealers — the buyers of last resort, who take whatever the auction does not clear — absorbing 11.5 per cent, both weaker than their trailing twelve-month averages. The awarded yield came above the prevailing when-issued level, the technical signature of demand falling short of the anticipated price.

The supply side of that transaction is not a mystery either. The Congressional Budget Office has revised its FY2026 deficit projection to $2.1 trillion, some $200bn above its February estimate, after the Supreme Court struck down certain tariff authorities and triggered refunds. Treasury expects to issue $671bn of privately held net marketable debt in the final quarter of the fiscal year, and total debt held by the public is approaching $40 trillion. A hawkish Fed changes the expected path of the overnight rate. It does not change how many thirty-year bonds have to find a home.

THE ESSENTIAL DISTINCTION

A yield that rises because investors expect a higher policy rate is a forecast, and forecasts can be argued with. A yield that rises because investors demand more compensation to hold the bond at all is a price, and prices have to be paid. *Confusing the two turns a supply problem into a Fed problem, and waits for a rate cut that would not fix it.*

MECHANISM

Following one thirty-year bond through the economics

1 The bond is created

Treasury must fund a $2.1tn annual deficit and roll maturing debt. A thirty-year bond is auctioned in a fixed size on a fixed date, regardless of appetite. Supply is a policy decision, not a market one.

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2 A holder must be found

Someone has to own it for thirty years. Central banks running down balance sheets, and price-insensitive foreign official buyers, have stepped back. What remains is a price-sensitive bid that will only clear at a level it likes.

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3 The risk gets priced

That holder is not forecasting the average overnight rate to 2056. It is asking what compensation covers the chance the forecast is wrong — on inflation, on fiscal path, on liquidity. That compensation is the term premium.

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4 Everything else reprices

The cleared yield becomes the risk-free anchor for mortgages, corporate debt, lease valuations, pension discount rates and the denominator on every long-dated cash flow in the economy.

Source: mechanism assembled from Treasury issuance guidance and CBO FY2026 projections (see Sources). Step 3 follows the standard decomposition used in the New York Fed's ACM term premium model. Illustrative of the transmission sequence, not a claim about any single auction.

$2.1tn

CBO's revised FY2026 federal deficit projection, $200bn above the February estimate. Debt held by the public is approaching $40tn.

0.51%

The New York Fed's ACM ten-year term premium estimate for June 2026 — positive after roughly five years near or below zero, though still far below the 1961–2026 average of 2.39 per cent.

$325bn

Unrealised losses on securities held by US banks in Q1 2026, a $19bn rise that ended four consecutive quarters of recovery, driven by higher long yields.

Sources: CBO Budget and Economic Outlook update; New York Fed ACM term premium series as reported for June 2026; FDIC-sourced aggregate bank unrealised securities losses, Q1 2026. Figures are as-of the dates stated and are not forecasts.

THE CENTRAL COMPARISON

What it costs to borrow, by term

Treasury levels as of the 4 September 2026 session (2-year 4.377%, 10-year 4.78%, 30-year 5.24%). Mortgage rate: Freddie Mac Primary Mortgage Market Survey, 3 September 2026 — 6.71%, up from 6.66% a week earlier and 6.50% a year ago, and the highest in thirteen months. Bars are scaled to the largest value and are illustrative of relative cost, not a yield curve construction.

A USEFUL MENTAL MODEL

Treat the short end as a referendum on the Federal Reserve and the long end as a referendum on the Treasury. This September the two are voting in the same direction. *That is unusual, and it is the reason a hawkish central bank has not flattened the curve.*

THE SHIFT

What has actually shifted

WHAT HAS CHANGED	WHAT IT LOOKS LIKE IN THE DATA	WHY IT CUTS BOTH WAYS
Term premium is positive again	The NY Fed's ACM ten-year estimate stood at 0.51 per cent in June 2026, after roughly five years near or below zero.	A positive premium is arguably a return to normality — the 1961–2026 average is 2.39 per cent, so the level is still historically low. But the direction of travel means long bonds no longer rally reliably on bad growth news, which removes the hedge that underpinned a generation of balanced portfolios.
The Fed's hawkishness now steepens rather than flattens	Two-year at 4.377 per cent and thirty-year at 5.24 per cent, both up, with hike odds near 58 per cent for 16 September.	Read one way, this is credibility working: markets accept a Fed that will not cut into inflation. Read another, it says a higher policy rate is not the constraint on long yields, so the customary equity playbook of waiting out the Fed does not apply here.

WHAT HAS CHANGED	WHAT IT LOOKS LIKE IN THE DATA	WHY IT CUTS BOTH WAYS
Auction mechanics have become a market signal	A $25bn thirty-year sale cleared at 5.216 per cent — highest since 2001 — with bid-to-cover 2.39 and dealers taking 11.5 per cent, both below trailing averages.	One weak auction is noise and the metrics are volatile. But when dealers repeatedly absorb an above-average share, the clearing price is being set by a shrinking pool of willing holders, which is exactly the condition that widens a premium.
Supply is a fiscal decision, not a cyclical one	CBO's FY2026 deficit projection revised to $2.1tn; $671bn of privately held net marketable issuance planned for the final fiscal quarter; public debt approaching $40tn.	Deficits at this scale are a durable source of duration supply that no policy rate decision offsets. Equally, much of the recent revision is one-off — lower tariff revenue and refunds after a Supreme Court ruling — so extrapolating it as a permanent run-rate overstates the case.
The damage is showing up on balance sheets	US banks carried $325.1bn of unrealised securities losses in Q1 2026, a $19bn rise ending four quarters of recovery. Aggregate negative AOCI across seven regional banks grew 8 per cent in Q2 to $12.9bn.	Regulatory capital rules let most banks add these losses back, so they are not an immediate solvency question. They become one only if a portfolio has to be sold for liquidity — which is a low-probability, high-consequence tail rather than a base case.
Consensus positioning has not caught up	Commentary through mid-2026 was still framed around expected rate cuts; futures now lean towards a hike. Long-duration Treasury exposure has lost ground, with the 20+ year Treasury ETF at −3.03 per cent NAV total return year to date at 3 September.	A crowded wrong-way trade unwinding can push yields further than fundamentals justify, creating the overshoot that eventually pays long-duration buyers. It can equally mean the move has further to run before positioning is clean.

BOTH SIDES

Bull and bear, stated fairly

A note on construction. With no internal thesis page available this run, both cases below are assembled from external reporting and from tensions inside the primary data itself. Neither side is a house view. The "bull" case is the case that an elevated term premium is real and durable; the "bear" case is the case that what looks like premium is mostly repriced policy expectations that will reverse.

The case that the premium is real and persists

- **Supply is structural, not cyclical.** A $2.1tn deficit and $671bn of net marketable issuance in a single quarter are legislative facts. No policy rate decision reduces the quantity of duration that must be placed.
- **The marginal buyer has changed.** Central bank balance sheet runoff removed a price-insensitive holder. Dealers taking 11.5 per cent of a thirty-year auction, against a lower trailing average, is what it looks like when the residual bid is doing the clearing.
- **The premium is low, not high, by history.** At 0.51 per cent in June 2026 the ACM estimate remains far below the 2.39 per cent average since 1961. Normalisation towards that mean would imply materially higher long yields from here.
- **Hawkishness is not resolving it.** Warsh's Jackson Hole speech raised hike odds and the thirty-year did not rally. If credibility alone could compress the long end, the past fortnight was the test, and it did not pass.
- **Inflation is not yet where it needs to be.** July CPI ran at 3.4 per cent headline and 2.5 per cent core year on year — above target, with a labour market adding 162,000 jobs a month. Locking a fixed nominal coupon for thirty years against that backdrop reasonably commands compensation.
- **The evidence is already in balance sheets.** $325.1bn of unrealised bank securities losses and widening regional AOCI are the realised cost of duration held at lower yields, not a projection.

The case that this is expectations, not premium

- **The move fits a policy story without needing a premium.** A 162,000 payroll print against a 53,000 consensus, plus 55,000 of upward revisions, straightforwardly raises the expected average short rate. Both ends of the curve rose the same day, which is what an expectations shock does.
- **The premium estimate is a model output, not an observation.** ACM is an econometric decomposition with wide standard errors and known instability; the June reading of 0.51 per cent was itself down from 0.667 per cent in May. Building a thesis on a series that moved 15 basis points in a month invites false precision.
- **Auction metrics are noisy.** Bid-to-cover and dealer take-down oscillate around their averages routinely. A single tail at one thirty-year sale is a thin evidentiary base for a regime claim.
- **The deficit revision was partly one-off.** The $200bn increase is attributed to lower tariff revenue and refunds following a Supreme Court ruling — a level shift, not a rising trend, and one that could reverse with different policy.
- **A hawkish Fed working is bearish for the premium.** If Warsh delivers on the 2 per cent target and inflation compensation falls, the very credibility being demonstrated now is what compresses long yields later. The current steepness may be the setup for the flattening, not evidence against it.
- **Positioning cuts the other way too.** Consensus commentary was still expecting cuts as recently as mid-2026. Markets that have just violently repriced in one direction are the ones most exposed to a single soft CPI print.

Where the views diverge, unresolved. The internal Heyokha Wiki could not be reached this run, so the customary internal-versus-external contrast is unavailable and no provider view is quoted. In its place, the sharpest live disagreement is between two external positions, and it is genuine. The Federal Reserve's own framing, as set out by Chair Warsh, is that reasserting the 2 per cent target reinforces credibility and reassures markets that policy will not bend to fiscal pressure — a framing that implies long yields should fall as the message lands. The bond market's revealed pricing says something else: after the hawkish Jackson Hole speech and after a hot payroll print, the thirty-year sits at 5.24 per cent and a thirty-year auction cleared at the highest yield since 2001. One of these is wrong about what is setting the long end, and the September CPI print and FOMC decision will not settle it either. This edition does not resolve it.

DASHBOARD

What to watch from here

SIGNAL	PLAIN-ENGLISH READING	WHY IT MATTERS
August CPI, 11 September	July ran 3.4 per cent headline, 2.5 per cent core year on year. A soft print takes the September hike off the table; a firm one makes it near-certain.	The single cleanest test of whether the front-end move was justified. A downside surprise that also fails to pull the thirty-year lower would be strong evidence for the premium reading.
FOMC decision, 16 September	Futures near 58 per cent for a quarter-point rise, with quoted estimates ranging from roughly 56 to 65 per cent depending on source.	The reaction of the thirty-year matters more than the decision. If a hike is delivered and long yields fall, expectations were doing the work. If they hold or rise, they were not.

SIGNAL	PLAIN-ENGLISH READING	WHY IT MATTERS
Next thirty-year auction: tail, bid-to-cover, dealer share	Benchmarks from 14 August: cleared 5.216 per cent, bid-to-cover 2.39, dealers 11.5 per cent, awarded above when-issued.	Two or three consecutive auctions with above-average dealer take-down would convert a single data point into a pattern, and a pattern into a genuine supply problem.
ACM ten-year term premium series	0.51 per cent in June 2026, down from 0.667 per cent in May. Published daily by the New York Fed.	The direct measurement of the thesis. A sustained move towards 1 per cent while policy expectations are flat would isolate the premium as the driver.
The 2s30s slope	Roughly 86 basis points at 4 September, with the thirty-year at 5.24 per cent and the two-year at 4.377 per cent.	The compact summary of the whole argument. Hikes that steepen this further point to the Treasury; hikes that flatten it point to the Fed.
Freddie Mac thirty-year mortgage rate	6.71 per cent at 3 September, up from 6.66 per cent a week earlier and 6.50 per cent a year ago; a thirteen-month high.	Where the long end stops being an abstraction. This is the transmission channel into housing volumes, builder margins and household formation.

EXPRESSION

Three postures, not one answer

Own the compensation

Take the long end directly and collect 5.24 per cent for thirty years, on the view that the premium is closer to its peak than its trough. **The cost:** duration is unforgiving. If the premium widens, the mark-to-market loss dwarfs the coupon in year one. The 20+ year Treasury ETF sat at −3.03 per cent year to date at 3 September, in a year when the coupon alone was positive.

Own the beneficiaries

Hold businesses whose economics improve as reinvestment yields rise — annuity writers and life insurers rolling maturing assets into higher-coupon paper. **The cost:** the timing is unpleasant. Higher rates mark down the existing portfolio at once and lift investment income only as assets mature, so the pain is reported before the benefit.

Own nothing long

Stay at the front of the curve, take roughly 4.4 per cent at two years, and decline to have a view on 2056. **The cost:** giving up the 86 basis points further out, and full reinvestment risk. If the premium compresses and the curve flattens, this locks in the lowest yield precisely as the opportunity closes.

The securities named below are ILLUSTRATIVE ONLY — chosen because their economics make the mechanism legible. They are NOT recommendations, and nothing here constitutes investment advice. Figures are as of the dates stated; they will have moved.

TLT

−3.03% YTD NAV, 3 Sep 2026

iShares 20+ Year Treasury Bond ETF

The cleanest available proxy for the thesis, and the clearest illustration of its cost. The fund holds Treasuries with more than twenty years to maturity, so its price is almost purely a function of the long yield. A negative total return through early September, in a year when the underlying bonds paid a coupon above 4 per cent, means the price decline more than consumed the income. That is the arithmetic of duration: at these maturities a move of a few tens of basis points in yield swamps a year of coupon.

WATCH NEXT

> Whether the thirty-year holds above 5 per cent through the 16 September FOMC — the first test of whether a delivered hike flattens the curve or steepens it further.

MET

$4.8bn inv. income, Q1 2026

MetLife, Inc.

A life insurer is a leveraged bet on reinvestment yield. MetLife collects premiums today against liabilities payable decades hence, and invests the float in long-dated assets. When maturing bonds roll into higher-coupon paper, the spread between asset yield and the rate assumed when policies were written widens. Adjusted earnings grew 18 per cent year on year in the first quarter of 2026. The company's own planning assumption, set on the December 2025 forward curve, was for long rates to rise moderately with the curve steepening — broadly what has since occurred.

WATCH NEXT

> The gap between new-money yield and the yield on maturing assets in the next quarterly disclosure — the direct measure of whether the premium is reaching the income statement.

DHI

$8.4bn orders, qtr to 30 Jun 2026

D.R. Horton, Inc.

The transmission channel from the long end into the real economy runs through the thirty-year mortgage, and the largest US homebuilder is where it lands. Net sales orders were $8.4bn on 23,084 homes in the fiscal third quarter, with orders up 5 per cent to 66,376 homes over the first nine months. Those figures were achieved before the mortgage rate reached 6.71 per cent on 3 September, its highest in thirteen months. Builders can offset rate moves with incentives and rate buy-downs, but each basis point of buy-down is paid out of gross margin rather than absorbed by the buyer.

WATCH NEXT

> Incentive cost as a share of revenue in the next results — the line where a higher term premium is converted directly into a lower builder margin.

O

5.72% dividend yield, 2026

Realty Income Corporation

A net lease REIT is a bond in corporate clothing: long, largely fixed, contractually specified rental income, funded with debt. Its business model is the spread between the yield on properties acquired and the cost of the capital used to buy them. When the long end rises, both sides of that spread move, but not at the same speed — acquisition cap rates reset slowly through negotiation while the cost of new debt reprices with the market. A 5.72 per cent dividend yield also has to compete for income buyers against a thirty-year Treasury at 5.24 per cent carrying no tenant credit risk.

WATCH NEXT

> The investment spread disclosed on new acquisitions, and whether acquisition volumes are being deliberately slowed while the cost of capital resets.

NEE

$3.92–$4.02 FY26 EPS guidance

NextEra Energy, Inc.

Regulated utilities build long-lived assets with long-dated debt and earn an authorised return set by a regulator, which moves slowly and in arrears. NextEra reaffirmed full-year 2026 adjusted EPS guidance of $3.92 to $4.02 and its long-term target of at least 8 per cent annual growth. Its Florida rate settlement provides a $945m annual base rate increase from January 2026 and a further $705m from January 2027, at an approved midpoint return on equity of 10.95 per cent. That authorised return is fixed for the settlement period while the market cost of the debt funding the capital programme is not.

WATCH NEXT

> The coupon on the next long-dated issuance against the 10.95 per cent authorised ROE — the compression, if any, between allowed return and marginal funding cost.

KRE

$12.9bn bank AOCI, Q2 2026

SPDR S&P Regional Banking ETF

A sector proxy, not a single issuer. Banks bought long-dated securities when yields were low and now carry them at a loss as yields rise. Across seven regional banks tracked by Risk Quantum, aggregate negative accumulated other comprehensive income widened by $951m, or 8 per cent, in the second quarter of 2026 to $12.9bn — the highest in a year. Sector-wide, US banks reported $325.1bn of unrealised securities losses in the first quarter, a $19bn increase that ended four quarters of improvement. Capital rules let most banks add these back, so this is a book value and funding-flexibility issue rather than a regulatory one — unless a portfolio has to be sold.

WATCH NEXT

> Whether AOCI widens for a third consecutive quarter, and any sign of securities being sold for liquidity rather than held to maturity. The figures cited are sector aggregates, not fund-level data.

The bottom line

What was repriced last week was not the Federal Reserve. The two-year yield moving to 4.377 per cent on a 162,000 payroll print is an ordinary adjustment to the expected policy path, and it is fully explained by the data. What is not ordinary is that the thirty-year sat at 5.24 per cent through the same sequence — through a hawkish Jackson Hole speech, through a hot labour market print, through everything that should have persuaded long-bond holders that inflation will be dealt with. The price being set at the long end is compensation for holding duration, and it is being set by a smaller pool of willing holders against a supply schedule written by fiscal policy rather than monetary policy.

The evidence is genuinely mixed and should be held as such. The ACM premium estimate is a model output that fell fifteen basis points between May and June; a single tailed auction is not a regime; and the deficit revision that widened FY2026 to $2.1tn was partly a one-off consequence of a court ruling on tariffs. The reasonable inference is narrower than the loudest version of the thesis: the long end has stopped taking its instructions solely from the Fed, and portfolios built on the assumption that it does — that long bonds hedge equities, that a hawkish central bank flattens the curve, that waiting out the policy cycle resolves a duration problem — are working from a model that has quietly stopped describing the data. The next test is specific and close: the August CPI print on 11 September and the FOMC decision on 16 September. If a hike is delivered and the thirty-year falls, the expectations reading wins. If it does not move, the price at the long end is being set somewhere other than the Eccles Building.

Sources and update notes

(a) Internal sources. None. The Heyokha Wiki MCP server (tools prefixed *mcp__Heyokha_Wiki__*) was not present in this session's tool inventory, and a schema search returned no matching tools. The Notion workspace connected to this session is an unrelated engineering wiki and does not contain the firm's theme pages; a keyword search for theme, thesis, bull case and bear case returned a single unrelated page. Consequently no theme page slug, no *created* or *last_reviewed* date, no section content and no provider issue dates could be retrieved. No 13D Research, White Box, Greed & Fear, Solid Ground, Marc Faber, HS Dent or Gary Shilling material is cited in this edition, because none was accessible. Nothing in this document should be read as representing an internal Heyokha view.

(b) Limitation on the internal view. The standing purpose of this paragraph is to name the provider concentration on the Wiki page underpinning the edition — for example, where a thesis rests disproportionately on a single provider's recent issues. That check could not be performed this run, because no Wiki page was retrieved. The limitation is therefore more severe than usual and runs in the opposite direction: rather than an internal view resting on too few providers, there is no internal view at all, and the argument rests entirely on public external reporting. Readers accustomed to weighing the internal thesis against external facts should note that only one of those two legs is present here.

(c) External sources. (1) Labour market — BLS Employment Situation for August 2026, released 4 September 2026: non-farm payrolls +162,000 against a 53,000 consensus and a 31,000 twelve-month average; unemployment 4.1 per cent; participation 61.6 per cent, up from 61.4 per cent; June revised from +20,000 to +31,000 and July from −23,000 to +21,000, a combined +55,000; food services and drinking places +59,000, local government education +42,000. (2) Treasury yields — market levels reported as of 3:30pm ET, 4 September 2026: ten-year 4.78 per cent, thirty-year 5.24 per cent; two-year 4.377 per cent intraday, its highest since January 2025. (3) Policy expectations — fed funds futures implying roughly 58 per cent probability of a quarter-point rise at the FOMC meeting of 16 September 2026; contemporaneous quotes ranged from approximately 56 per cent (CME FedWatch) to 65 per cent, and 60.4 per cent following the Jackson Hole speech of 28 August 2026. Governor Waller signalled support for no hike on 3 September 2026. (4) Auction — $25bn thirty-year Treasury sale reported 14 August 2026: awarded yield 5.216 per cent, described as the highest at a thirty-year auction since 2001; bid-to-cover 2.39; primary dealers 11.5 per cent; awarded above the when-issued yield. (5) Term premium — New York Fed ACM ten-year estimate 0.513 per cent for June 2026, down

from 0.667 per cent in May 2026; average since June 1961 of 2.389 per cent. (6) Fiscal — CBO revised FY2026 deficit projection of $2.1tn, $200bn above its February estimate, attributed to lower tariff revenue and refunds following a Supreme Court ruling; Treasury guidance of $671bn privately held net marketable debt issuance in the final quarter of FY2026; debt held by the public approaching $40tn. (7) Inflation — July 2026 CPI released 12 August 2026: headline +3.4 per cent year on year and +0.1 per cent month on month; core +2.5 per cent year on year and +0.2 per cent month on month. August CPI scheduled for 11 September 2026, 8:30am ET. (8) Mortgages — Freddie Mac Primary Mortgage Market Survey, 3 September 2026: thirty-year fixed average 6.71 per cent, up from 6.66 per cent a week earlier and 6.50 per cent a year earlier; the highest in thirteen months. (9) Banks — US banking sector unrealised securities losses of $325.1bn in Q1 2026, a $19bn rise ending four quarters of decline; aggregate negative AOCI across seven regional banks up $951m, or 8 per cent, in Q2 2026 to $12.9bn (Risk Quantum). (10) Companies — MetLife net investment income $4.8bn in Q1 2026 (Prudential Financial $4.5bn) and adjusted earnings growth of 18 per cent year on year; MetLife planning assumption of moderately rising long rates and a steepening curve based on the 31 December 2025 forward curve. D.R. Horton fiscal Q3 2026, quarter ended 30 June 2026: net sales orders of $8.4bn on 23,084 homes; first nine months orders +5 per cent to 66,376 homes and order value +4 per cent to $24.3bn. NextEra Energy full-year 2026 adjusted EPS guidance of $3.92 to $4.02 reaffirmed, long-term growth target of at least 8 per cent annually through 2032 and 2035; Florida rate provisions of $945m annual base rate increase effective January 2026 and $705m effective January 2027 at an approved midpoint ROE of 10.95 per cent. Realty Income dividend yield of 5.72 per cent as reported in 2026. iShares 20+ Year Treasury Bond ETF NAV total return of −3.03 per cent year to date as of 3 September 2026. (11) Fed communication — Chair Kevin Warsh's Jackson Hole remarks of 28 August 2026, reported as unexpectedly hawkish, stating that summer inflation readings did not represent meaningful improvement, and his statements on institutional independence and the 2 per cent target.

(d) Editorial choices in this automated run. Date determination succeeded: *date -u* returned 7 September 2026 02:02 UTC, which is Monday 7 September 2026 in Asia/Hong_Kong. The archive read succeeded but not by the specified route: the remote-devices bridge was not available in this session's tool inventory, and the HB Wiki Learning folder was instead read directly, as it is mounted as a connected folder. Thirty-eight files were parsed. The 30-day cooldown set (editions dated on or after 8 August 2026) is therefore fully verified and comprises: Healthcare Rotation, Tanker Shipping, Uranium, Oil Chokepoint Risk, Seat-Based Software, Energy Chokepoints, Copper Smelting Bottleneck, Copper, Fiscal Dominance, China Equities, Memory Supercycle, Rare Earth Magnets, Gold, Humanoid Robots, Iran War, Coal, Grain Supply Shock, Yen Carry Trade, Power Affordability, AI Debt Financing, Silver Miners, Stagflation and Drone Tariffs. Note that older files in the folder use a different naming convention (*YYYY-MM-DD - Topic Field Guide.pdf*) than the current one; both were parsed. Topic selection could NOT follow the specified procedure. Steps 3(a) to 3(d) require the Heyokha Wiki MCP server for source entity scoring and for the eligible universe of roughly 72 active theme pages; that server was absent, so no entity scores were computed and the eligible theme list could not be enumerated. The fallback specified for total MCP failure — browser and web research — was used instead. The hot signal was identified from external reporting on the week of 31 August to 4 September 2026: the dominant market story was the bond market rather than equities, specifically the two-year reaching its highest level since January 2025 and a live probability of a Federal Reserve rate hike, set against a thirty-year yield that has not fallen. Term Premium was selected because it is the mechanism that reconciles those two facts, it is absent from the verified 30-day cooldown set, and it is distinct from the nearest cooled topics — Fiscal Dominance, covered 20 August, concerns the subordination of monetary policy to fiscal need, and Stagflation, covered 3 September, concerns the growth and inflation mix. Neither addresses the decomposition of a long yield. Whether "Term Premium" corresponds to an existing active theme page in the Wiki could not be checked; the filename uses that title in the house format. Every figure in this edition was verified through search against dated external reporting; no figure was carried over from an internal source, and figures that could not be verified were dropped, including the closing level of the S&P 500 on 4 September 2026 and single-name regional bank AOCI figures, for which sector aggregates are used and labelled as such. Direct HTTP fetching and yfinance were not attempted, in line with the sandbox restrictions.
